reversion makes it more likely that extreme returns will happen repeatedly, creating the same overall effect as more extreme one-time returns.

Which brings us to the next point: the results of Monte Carlo simulations are only as good as the input assumptions, though when thinking about future retirements, historical simulations are likely to be even more disadvantaged by this issue. Monte Carlo simulations can be easily adjusted to account for changing realities for financial markets. I described my preferred approach in the technical appendix to chapter 3. Overall, the advantages of Monte Carlo simulations likely more than make up for any deficiencies when compared to the results we obtain using historical simulations.